Chapter 6 VERIFICATION OF LIABILITIES

EWUS6K

Learning Objectives

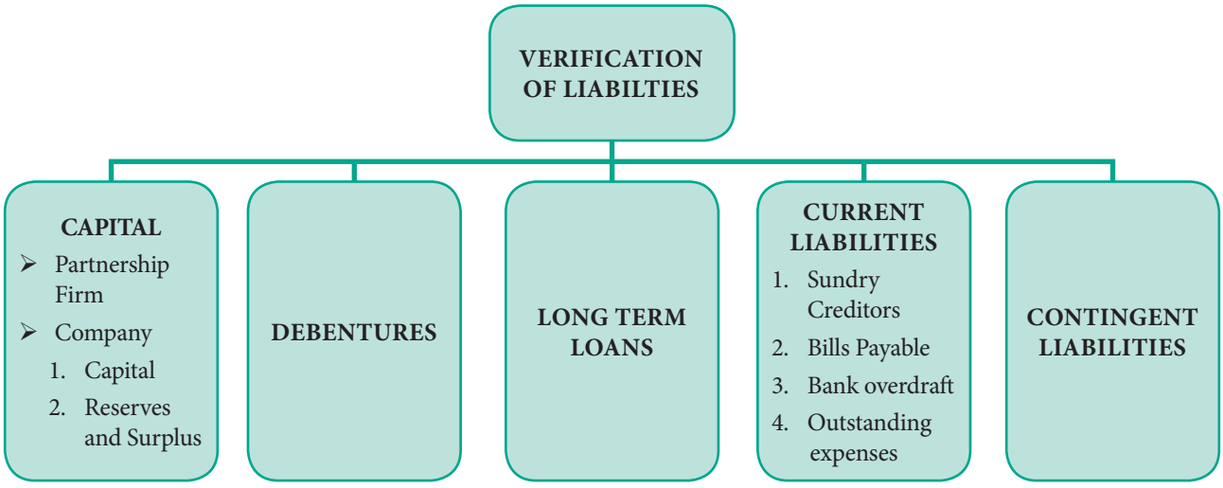
- To understand the various forms of liabilities.
- To define the auditors duty with regard to verification of various liabilities.

POINTS TO RECALL RECAP

From the previous chapter, we have studied the meaning and classification of assets and procedures for verification and valuation of fixed assets, investments, current assets and intangible assets.

6.1 Introduction

Liabilities are legal obligations of the organization to third parties. It is in the form of Capital, Debentures, Long term loans, payment to suppliers against goods and expenses, contingent liabilities etc. Verification of liabilities is as important as verification of assets. If liabilities are not properly verified and valued, the Balance Sheet will not reveal a true and fair view of the state of affairs of a business concern. The main objective of verifying liabilities is to ensure that all the liabilities are properly disclosed, valued, classified and presented in the Balance Sheet. The diagram given below shows the various types and classifications of liabilities.



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